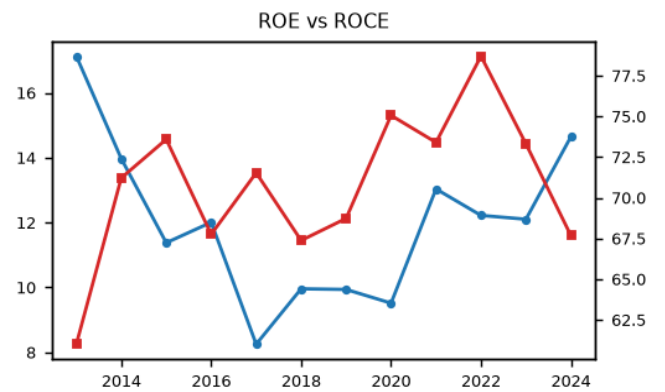
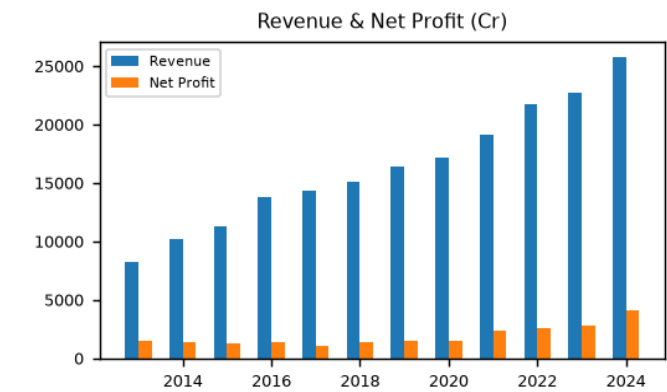
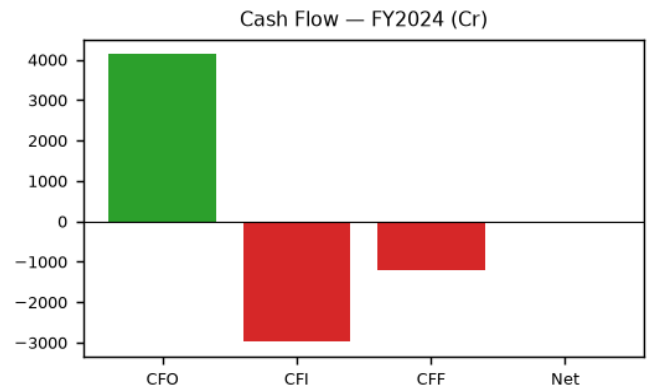
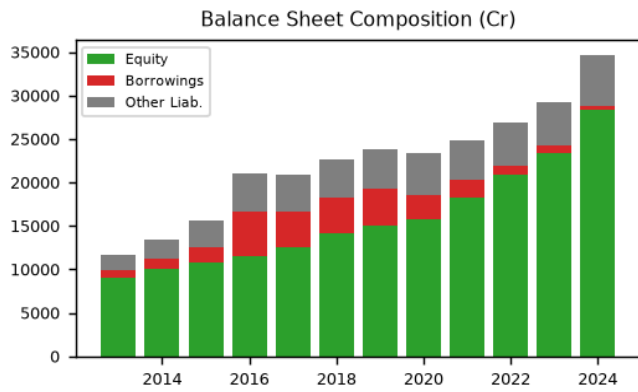


Cipla Ltd (CIPLA)

Healthcare · Fiscal Year 2024

ROE 14.6%	ROCE 67.7%	Net Profit Margin 16.1%
D/E 0.0	Revenue CAGR 5yr 9.5%	FCF (Cr) 1,152





Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure

Capital Allocation: Reinvestor